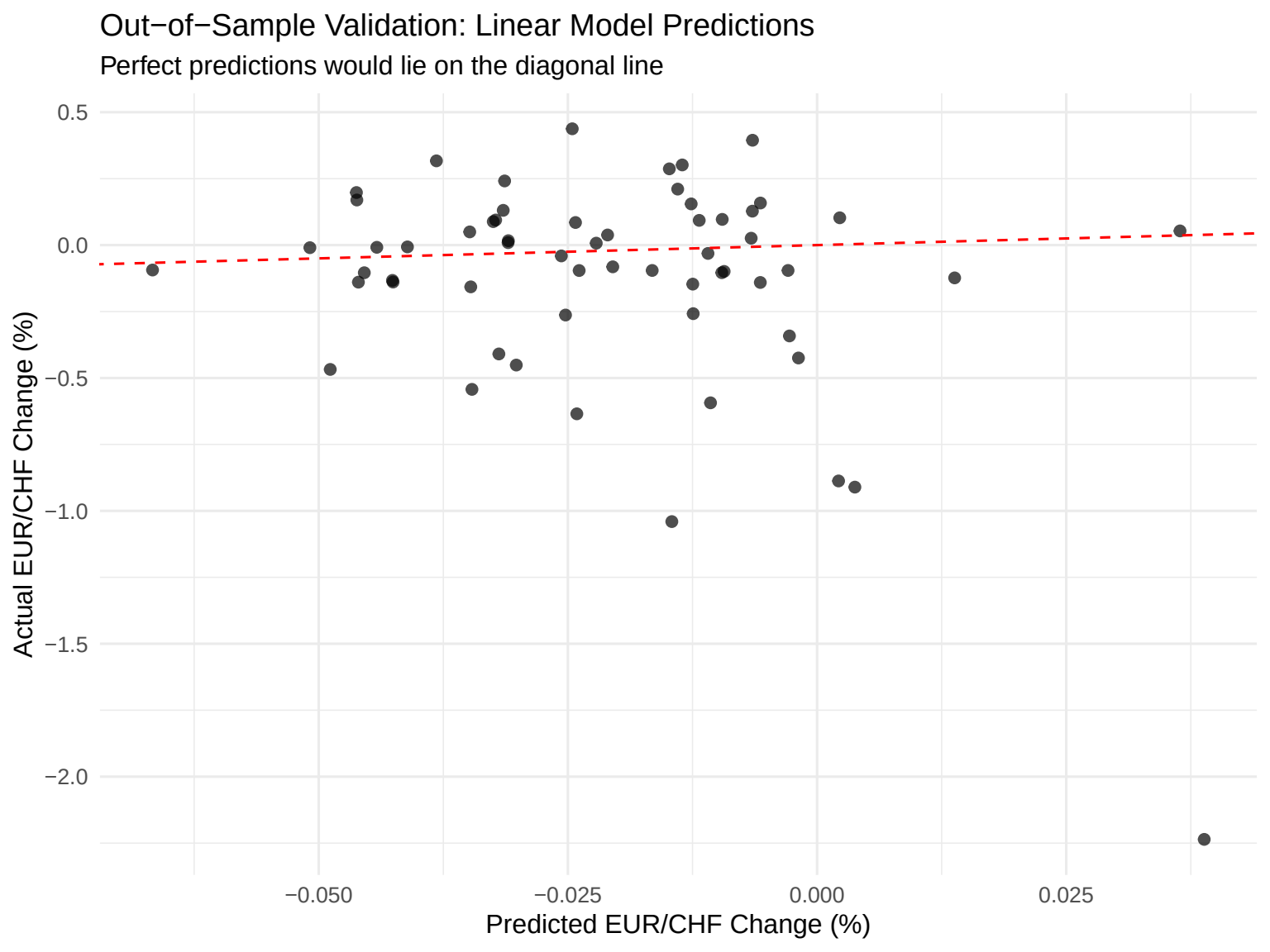
Out−of−Sample Validation: Linear Model Predictions
Perfect predictions would lie on the diagonal line
0.5
0.0
−0.5
−1.0
−1.5
−2.0
Actual EUR/CHF Change (%)
−0.050
−0.025
0.000
0.025
Predicted EUR/CHF Change (%)